

Stablecoins and regulatory competence

The boundary between the Central Bank of Brazil
and the Brazilian Securities Commission (CVM)

A comparative law-and-economics analysis

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EALe 2026

What are stablecoins?

Stablecoins are **digital assets designed to maintain a stable value relative to a reference asset**, usually an official currency.

- **Target:** a dollar-referenced token, for example, aims to maintain a value of US\$1.
- **Mechanism:** reserves, collateral or algorithmic adjustments support that target, depending on the design.
- **Uses:** payments, remittances and liquidity storage; some arrangements also offer an investment return.

The target value does not eliminate the risk of losing parity, known as a **depeg**.

Types and stabilization mechanisms

Type discussed in the paper	How stability is supported
Fiat-backed	Reserves of cash and liquid financial assets support redemption. Examples: USDT and USDC.
Commodity-backed	Physical assets, such as gold or silver, provide the value reference and backing.
Crypto-backed	Other crypto-assets serve as collateral, usually with overcollateralization to absorb price volatility.
Treasury-backed	A fiat-backed subtype: government securities generate income for the issuer.
Algorithmic	Programmed supply adjustments seek to sustain the target without conventional collateral.

These are economic designs; they do not determine securities status by themselves.

Research question and argument

How should regulatory authority be allocated when a stablecoin combines **payment and investment functions**?

Brazil's binary division between virtual assets and securities provides institutional clarity, but leaves difficult classification and coordination questions.

We examine this boundary through **economic functions, comparative legal analysis and the Dynasty Global decision**, contrasting Brazil with the United States and the European Union.

Banking and capital-market financing

Banking market: financial intermediation

Banks raise funds in their own name and lend them to borrowers. The bank owes depositors and assumes credit risk on its loans.

Capital market: direct financing

Investors fund issuers through securities and bear the risks of the investment. Financial intermediaries arrange transactions without taking the borrower's place.

These relationships expose savers to different risks and support different regulatory mandates.

Why banking regulation is prudential

- **Repayment obligations:** banks must meet withdrawals while loans may be repaid later or suffer losses.
- **Liquidity risk:** simultaneous withdrawals can force rapid asset sales, worsening losses and weakening confidence.
- **Systemic effects:** distress may spread to other institutions and disrupt payments, imposing costs beyond the bank and its customers.

Prudential supervision addresses **solvency, liquidity and continuity of payments**, because individual institutions do not internalize all the costs of their distress.

Prudential and monetary risks in stablecoins

- **Convertibility:** a fiat-backed issuer receives funds, issues tokens and invests reserves. Parity depends on its ability to meet redemptions.
- **Run dynamics:** loss of confidence can trigger redemptions and reserve sales, reinforcing liquidity pressure.
- **Monetary externalities:** private issuance can affect aggregate liquidity and the transmission of monetary policy, beyond the issuer's own interests.

These mechanisms support **liquid reserve requirements and oversight of issuance, reserve management and payments.**

Why securities markets require regulation

- **Information asymmetry:** issuers know more about assets and prospects than investors. Poor information impairs pricing and can discourage investment.
- **Agency problems:** investors entrust funds to managers whose decisions they cannot readily monitor. Managers may pursue their own interests at investors' expense.
- **Regulatory response:** mandatory disclosure supports informed pricing; governance and management rules constrain conflicts of interest.

The central relationship is between **investors supplying capital and those using or managing it.**

How a stablecoin can combine these functions

Hypothetical example: a transferable token targets US\$1, while its issuer invests reserves and promises holders a share of investment income.

Dimension	Economic concern
Payment	Redeemability depends on adequate, liquid reserves.
Investment	Returns depend on portfolio choices, information and the issuer's incentives.
Interaction	Portfolio losses may reduce returns and weaken confidence in redemption.

Income retained by the issuer alone does not establish a holder's investment right. Securities status still depends on the legal test.

United States: overlapping regulatory mandates

- **Initial fragmentation:** banking authorities emphasized convertibility and stability; securities authorities saw possible investment-contract and fund characteristics.
- **GENIUS Act, July 2025:** established a federal framework for payment stablecoins.
- **Remaining boundaries:** hybrid and yield-bearing arrangements still raise questions about the relation between payment oversight and securities law.

The paper uses this trajectory to show how overlapping mandates can generate **coordination costs and uncertainty about the applicable regime.**

European Union: categories defined in advance

- **Starting problem:** gaps in existing financial law and divergent national responses, alongside payment and monetary risks.
- **MiCA's response:** common categories for e-money tokens and asset-referenced tokens guide prudential, informational and supervisory treatment.
- **Institutional design:** national and European authorities share tasks within a common legislative framework.
- **Remaining boundary:** financial instruments fall under other legislation; hybrid products still require functional classification.

A more detailed taxonomy reduces uncertainty but still needs **coordination and adaptation**.

Brazil: a statutory division of competence

- **Law 14,478/2022 and Decree 11,563/2023:** place virtual-asset service providers primarily under the Central Bank of Brazil (BCB).
- **Securities exclusion:** instruments covered by Law 6,385/1976 remain under the CVM and outside the new virtual-assets framework.
- **Economic logic:** the BCB's mandate addresses payments, liquidity and foreign exchange; the CVM's mandate addresses capital raising and investor protection.

Hybrid products must still be classified under legal categories, including an **open investment-contract clause**.

The collective investment contract test

Six cumulative elements under CVM Guidance Opinion 40/2022:

1. Investment of money or an asset with economic value.
2. Formalization in a security or contract.
3. Collective character.
4. Expectation of economic benefit.
5. Predominant efforts of an entrepreneur or third party.
6. Public offering.

Article 2(IX) also requires a right of participation, partnership or remuneration.

Dynasty Global: the arrangement

The **D¥N token** was presented as a payment token linked to real estate.

Real estate	Dynasty manages properties that generate cash flow.
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Buyback	Cash flow funds purchases of D¥N on the secondary market.
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Burn	Purchased tokens are cancelled to increase scarcity and support value.
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Does this mechanism create an investment right under Brazilian law?

Dynasty Global: a 3-2 decision

Majority: no security	Minority: collective investment contract
Stabilization of purchasing power resembles a monetary function.	Buyback and burn create an expectation of appreciation.
Investment expectations do not themselves establish the statutory right.	Appreciation depends on assets managed by the issuer.
Copola, Lobo and Accioly	Nascimento and Maeda , with the technical staff

The same mechanism supported different readings of Article 2(IX).

Classification and regulatory coverage

Classification uncertainty

Shared facts can produce different judgments about whether an arrangement grants an investment right.

Regulatory coverage

A securities classification does not resolve every payment, liquidity, monetary or foreign-exchange concern.

Hybrid cases require both a legal classification and an assessment of the risks each authority can address.

More predictable classification

Feature to examine	Relevant question
Asset management	Does token value depend on the issuer's portfolio decisions?
Buybacks and marketing	Does the issuer induce an expectation of appreciation?
Business organization	Does success depend on continuing centralized efforts?
Effective use	Is the token mainly used for payments or held for investment?

These indicators inform Article 2(IX); they do not replace its statutory requirements.

Coordination within the legal framework

Article 3(IV) of Law 6,385/1976 allows the National Monetary Council to define CVM activities requiring coordination with the BCB.

The paper proposes:

- **Joint guidance** on recurring classification issues.
- **Consultation protocols and referral procedures** for borderline cases.
- **Clear triggers** for involving the other authority when additional risks arise.

Conclusions

- Brazil's statutory allocation offers institutional clarity, but hybrid arrangements remain difficult to classify.
- Functional analysis must connect economic risks with the rights required by securities law.
- **Clearer classification criteria and BCB-CVM coordination** are complementary responses to this boundary problem.

Both should improve predictability while limiting unnecessary compliance costs.

MiCA's stablecoin categories

Category	Reference for stable value
E-money token (EMT)	One official currency
Asset-referenced token (ART)	Another value or right, or a combination of them, including currencies; excluding EMTs

Crypto-assets qualifying as financial instruments remain outside MiCA's scope.

Ex ante categories guide classification; supervisory coordination and functional judgments remain necessary.

The monetary externality in Park and Kwon

- The model assumes competitive issuance and imperfect monitoring of collateral.
- Individual issuers do not internalize the effect of issuance on aggregate monetary liquidity.
- Under the model's assumptions, private issuance offsets open-market operations in a corridor system; remuneration of reserves in a floor system preserves policy effectiveness.

This is a conditional theoretical result, not an empirical estimate for Brazil.

Selected references

Economic foundations

Mahoney (2021). *The Economics of Securities Regulation: A Survey*.

Park and Kwon (2023). *Stablecoins: Legal restrictions theory and monetary policy*.

Brazilian legal framework and case

Laws 6,385/1976 and 14,478/2022; Decree 11,563/2023.

CVM Guidance Opinion 40/2022.

Dynasty Global: CVM Proceeding 19957.014289/2022-97, 30 April 2024.

Comparative frameworks

MiCA: Regulation (EU) 2023/1114.

GENIUS Act: U.S. Public Law 119-27, 18 July 2025.